

Use of Skilled Persons

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Application and Definitions

1.1

This Part applies to:

1. (1) all `_firms_` ; and
2. (2) a `_CRR consolidation entity_` as if it were a `_firm_`.

1.2

In this Part, the following definition shall apply:

`_relevant requirement _`

has the meaning specified in section 204A(2) of `_FSMA_`.

2

Cost of the Skilled Person?s Report

2.1

A `_firm_` must, including where applicable in complying with the `_Fundamental Rules_` , give the `_PRA_` information about the cost of the `_skilled person?s_` report. This includes both an initial estimate of the cost as well as the cost of the completed report.

3

Contract with the Skilled Person

3.1

When a `_firm_` appoints a `_skilled person_` the `_firm_` must, in a contract with the `_skilled person_` :

1. (1) require and permit the `_skilled person_` during and after the course of their appointment:
 1. (a) to cooperate with the `_PRA_` in the discharge of its functions under `_relevant legislation_` in relation to the `_firm_` ; and
 2. (b) to communicate to the `_PRA_` information on, or the `_skilled person?s_` opinion on, matters of which they have, or had, become aware in their capacity as `_skilled person_` reporting on the `_firm_` in the following circumstances:
 1. (i) the `_skilled person_` reasonably believes, as regards the `_firm_` concerned:
 1. (A) that there is or has been, or may be or may have been, a contravention of any `_relevant requirement_` that applies

to the _firm_ concerned; and

2. (B) that the contravention may be of material significance to the _PRA_ in determining whether to exercise, in relation to the _firm_ concerned, any functions conferred on the _PRA_ by or under _relevant legislation_ ; or
2. (ii) the _skilled person_ reasonably believes that the information on, or their opinion on, those matters may be of material significance to the _PRA_ in determining whether the _firm_ concerned satisfies and will continue to satisfy the _threshold conditions_ ; or
3. (iii) the _skilled person_ reasonably believes that _firm_ is not, may not be or may cease to be a going concern;
2. (2) require the _skilled person_ to prepare a report or collect or update information, as notified to the _firm_ by the _PRA_ , within the time specified by the _PRA_ ; and
3. (3) waive any contractual or other duty of confidentiality owed by the _skilled person_ to the _firm_ which might limit the provision of information or opinion by that _skilled person_ to the _PRA_ in accordance with (1) or (2).

3.2

A _firm_ must ensure that the contract it makes with the _skilled person_ under 3.1 requires and permits the _skilled person_ to provide the following to the _PRA_ if requested to do so:

1. (1) interim reports;
2. (2) source data, _documents_ and working papers;
3. (3) copies of any draft reports given to the _firm_ ; and
4. (4) specific information about the planning and progress of the work to be undertaken (which may include project plans, progress reports including percentage of work completed, details of time spent, costs to date, and details of any significant findings and conclusions).

3.3

A _firm_ must ensure that the contract required by 3.1:

1. (1) is governed by the laws of a part of the _UK_ ;
2. (2) expressly:
 1. (a) provides that the _PRA_ has a right to enforce the provisions included in the contract under 3.1, 3.2 and 3.3(2)(b)-(d);
 2. (b) provides that, in proceedings brought by the _PRA_ for the enforcement of those provisions, the _skilled person_ is not to have available by way of defence, set-off or counterclaim any matter that is not relevant to those provisions;
 3. (c) (if the contract includes an arbitration agreement) provides that the _PRA_ is not, in exercising the right in (a), to be treated as a party to, or bound by, the arbitration agreement; and
 4. (d) provides that the provisions included in the contract under 3.1, 3.2 and 3.3(2)(a)-(c) are irrevocable and may not be varied or rescinded without the _PRA's_ consent; and
3. (3) is not varied or rescinded in such a way as to extinguish or alter the provisions referred to in (2)(d).

3.4

A _firm_ must give the _PRA_ a copy of the draft contract required by 3.1 before it is made with the _skilled person_ .

4

Delivery of the Skilled Person's Report to the PRA

4.1

When a _firm_ appoints a _skilled person_ , a _firm_ must, including where applicable in complying with the

Fundamental Rules , take reasonable steps to ensure that a _skilled person_ delivers a report or collects or updates information in accordance with the terms of the _skilled person?s_ appointment.